

The High Line Deal — Model Brief

AuthorsLab · internal discussion document for Paul & Carl · 28 September 2026 · prepared by the finance lane.
Contains internal cost figures — not for the customer.

1 · The deal in one paragraph

High Line Publishing Studio (CEO Oliver Malcolm; two imprints; first books spring 2027) pays a **platform fee** for the instrument — visibility over the whole backlog, unlimited seats and imprints — plus a **per-title fee** fired once, when our system completes its first editorial station on that book. Charged per book *worked*, never per book published, never per seat, never per month of usage. Free pilot on two titles (one per imprint) that converts only when the first editorial journey actually completes. GBP, net-30 posture. These are opening terms for High Line specifically, not a rate card.

2 · The numbers (ratified by Paul, 28 Sept)

	Figure	Anchor / rationale
Platform fee	£750 / month	Sits above Consonance (£600/mo for management software alone, seat-capped). We show the production line, not just metadata — and our fee covers unlimited seats.
Per title worked	£400, once	Opens the full editorial line to that book (three editors, re-runs within fair use, no overage meter). 5–25% of ONE human editorial pass (£1,600–£8,000, verified July).
Year, 15 titles	£15,000	First-list year. One invoice line per book — lands inside the per-title P&L he already runs.
Year, 30 titles	£21,000	Steady state. Against £60k+ of human editorial a 30-title list would consume.
Observe-only year	£9,000	They keep their own editors, use only the visibility layer. Priced deliberately — see discussion point A.

What the title fee buys (ruled): the book's *entry to the line*, not a bundle of passes. A publisher who hand-marks six stations and runs one through us pays the full £400 — no proration, and the proposal says so out loud rather than letting Oliver discover it. The one-line sentence: *“How much of the line you route through us is your choice; the price does not change with it.”*

3 · Unit economics (internal)

Measured floor per editor-pass ≈ **£2.50** (a floor, not an estimate: both measured journeys failed, so true completed cost sits above it) + 25% failed-journey load → **£3.13 effective**. Full three-editor line per title ≈ **£10–£30** allowing re-runs. So the £400 title fee carries **≥92% gross margin at the floor** — margin that survives the floor being wrong by a factor of five. The Observe level costs us pennies per title. The first completed journey on real work reprices the floor into a measurement; that same event is the pilot's conversion trigger and the meter's first tick — one event, three jobs.

4 · The four things worth discussing

A · Does the platform fee stand alone? The journey side flagged the structural tension: a customer sitting at Observe forever generates zero per-title revenue — and Observe is where Oliver gets value on day one, because nobody at High Line can currently see their pipeline at all. On margin we are fine (£9k/yr at near-zero cost). The open end is **value-capture**: if the visibility layer alone is worth far more than £9k to him, a delighted-but-slow-to-advance customer is underpaying. Proposed posture: hold the price, let the pilot show the real usage pattern, and let **renewal** — not a mid-contract meter — be where that knowledge prices.

B · We sell visibility, not forecasting — for now. The system holds no target date for any book in production (found this week, building the list screen). So the honest pitch is “what has moved, what hasn't, who each book is waiting on” — never “this book will miss March.” The missing primitive (a per-title target date the publisher sets) is named in the proposal as the next thing rather than hidden. Does not change the price; sharpens what the platform fee is sold as.

C · What is ruled vs. negotiable. Ruled and not for the room: no per-seat pricing ever; no usage meters or overage in v1; a failed pass bills nothing; a re-run after our failure cannot double-bill (enforced by the database schema, not by policy); stations marked by their own staff record and never bill. Negotiable at signature: fee level within reason, invoice cadence, pilot length. The frame itself — platform + per-title-once — is the product.

D · Why the pilot is free. It converts on the first completed journey, so nothing converts while nothing works. And from day one at Observe it builds the station-by-station throughput record — the raw material for the date-projection product in point B. The pilot pays us first in measurement and evidence, then in money.

5 · Where the proposal stands

Working draft V0.2 exists (docs/sis/proposals/) with every present-tense claim traced to a production artefact. Four sections await their owners: the list-screen description (after it is opened against live data), staff & permissions, the adoption-level mechanics, and the formats boundary. Before anything reaches Oliver: full claim-by-claim verification, the builder's countersign against open screens, an adversarial read, a voice pass — then Paul and Carl own the send. Strategy throughout: under-claiming is the persuasion; he reads proposals for what is missing, so we name the missing first.

Sources: pricing scenarios & ratification record, scenario B (28 Sept); commercial-frame ratification (28 Sept); model V0.5.1 cost basis (23 Sept); comparables verified 28 July; commission & SAY/DON'T-SAY table v2.4. All in docs/sis/pricing/ and handovers/.